

26STCV06196 26STCV06196

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MOTION TO LIFT

STAY

The Court tenders the following decision in the matter Shannon Yliz v. Empathyhands Homecare LLC, Los Angeles County Superior Court case number 26STCV06196, set for hearing on September 23, 2026. Shannon Yliz (Plaintiff) moves for an order lifting the stay in this matter and withdrawing the case from arbitration pursuant to Code of Civil Procedure section 1281.98. Plaintiff also requests \$4,760 in sanctions. Empathyhands Homecare LLC (Defendant) does not oppose lifting the stay but does oppose the imposition of sanctions. The motion is granted. Plaintiff is awarded \$2,950 in sanctions, payable by Defendant.

A.

Legal Standard

“In an employment or consumer arbitration that requires . . . that the drafting party pay certain fees and costs during the pendency of an arbitration proceeding, if the fees or costs required to continue the arbitration proceeding are not paid within 30 days after the due date, the drafting party is in material breach of the arbitration agreement, is in default of the arbitration, and waives its right to compel the employee or consumer to proceed with that arbitration as a result of the material breach.” (Code Civ. Proc., § 1281.98, subd. (a)(1).) If the drafting party is in breach as described in subdivision (a), the employee may “[w]ithdraw the claim from arbitration and proceed in a court of appropriate jurisdiction.” (Code Civ. Proc., § 1281.98, subd. (b)(1).)

B. Discussion

Plaintiff commenced the present suit against Defendant on February 25, 2026. The parties entered a stipulation to arbitrate this proceeding on April 15, 2026. (Santos Decl. ¶ 6, Ex. B.) Thereafter, the parties proceeded with arbitration through Judicate West. (Id. ¶ 9.) Defendant failed to timely pay the arbitration fees and costs required for the arbitration to proceed. (Id. ¶¶ 18–19.) Defendant concedes that it has not paid the fees and that withdrawal from arbitration and the lifting of the stay in this matter is proper. Thus, the Court finds that Defendant has breached the arbitration agreement as defined under Code of Civil Procedure section 1281.98, subdivision (a) by failing to pay the fees required to continue the arbitration proceeding. Accordingly, Plaintiff is entitled to withdraw from arbitration pursuant to subdivision (b)(1) and her motion is granted.

Plaintiff requests monetary sanctions with respect to the present motion. “The court shall impose a monetary sanction against a drafting party that materially breaches an arbitration agreement pursuant to . . . subdivision (a) of Section 1281.98, by ordering the drafting party to pay the reasonable expenses, including attorney’s fees and costs, incurred by the employee or consumer as a result of the material breach.” (Code Civ. Proc., § 1281.99, subd. (a).) Here, monetary sanctions are proper because of Defendant’s breach of section 1281.98.

Plaintiff requests \$4,760 in sanctions based on 6 hours of work at a \$700 hourly rate, the \$500 filing fee Plaintiff paid to initiate arbitration, and the \$60 filing fee for the present motion. Defendant challenges this amount as unreasonable under *Wilson v. TAP Worldwide, LLC* (2025) 114 Cal.App.5th 1077. There, the Court of Appeal held that a party is only entitled to fees incurred “for work no longer having utility given termination of the arbitration proceeding.” (Id. at p. 1083.)

Here, the Court credits Plaintiff’s counsel’s \$700 hourly rate as reasonable. The Court finds that the \$500 fee paid by Plaintiff to initiate the arbitration proceedings constitutes work “no longer having utility” now that the proceeding has concluded due to Defendant’s failure to pay fees and is thus properly compensated through section 1281.99 sanctions. The Court further finds that the alleged \$60 filing fee paid by Plaintiff regarding the present motion is not properly compensated because

Plaintiff has not provided evidence the fee was paid. Finally, the Court finds that 3.5 hours is a more reasonable estimate of the time spent by counsel preparing the present motion and reply and attending the hearing: 1.5 hours to prepare the relatively simple motion given counsel's claimed experience, 1 hour to prepare the reply to Defendant's opposition related only to sanctions, and 1 hour to attend the hearing on this matter. Accordingly, the Court awards \$2,950 in sanctions ($[\$700 \text{ per hour}] \times [3.5 \text{ hours}] + [\$500 \text{ arbitration initiation fee}] = \$2,950$).

Conclusion:

The motion is granted. Plaintiff is awarded \$2,950 in sanctions, payable by Defendant.